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“The advantage fintech brings is a narrow focus and contemporary technology. The problem they have is how do you scale and how do you learn how to deal with the regulatory environment?”

Q: What is your view on the demand to incentivise fixed deposits? Do you buy into that suggestion?

A: What I buy into is a level playing field.

Q: Could you explain?

A: If you give a tax advantage to either mutual funds, debt mutual funds or equity mutual funds and not to time deposits, then you are not creating an even playing field. If there is a tax disadvantage, that is not a good place to be.

Q: What could our policymakers learn from global experience in this regard?

A: I think both in the UK and in the US, to the best of my knowledge, there is no tax differentiation between debt mutual funds and fixed deposits; both are treated on par. Of course, for capital gains, you get a better rate, which is true in India as well. I think in that context, there is a level playing field there, while that may not be the case here.

Q: Our banking system has gone through various cycles and while the health of the overall system has improved, do you see any emerging stress?

That is something that you have to be constantly vigilant about. Generally speaking, if you look at global events, every seven or eight years, there is something that affects [the system]. The good news is India for the most part has kept itself insulated from these global events. But then we have had our own share of crises.

So, you cannot put these things on autopilot and say everything is fine. They have to be constantly monitored, looked at, tweaked and see how things evolve over a period. You cannot get complacent about this.

Q: Is eternal vigilance the price we pay for a stable financial system?

Every industry gets the regulation that it deserves. I go back to the US; wherever there are some kind of extreme regulations [expected], the kind of mindset I try and put into my team is what is the regulator really trying to do; essentially, the regulator is saying get it right by the customer and shame on us if we need somebody externally to tell us that. We should be getting it right by the customer, and [if] we get it right by the customer, everything else falls into place. And so there will be times when things get heavy handed, some crisis will come, [and] we will react in a certain way. This is a constantly changing environment that you have to deal with.

Q: What will brand Kotak stand for in the future?

I believe that the big defining thing about India today is the aspiration people have... an ordinary person today has got aspirations that are far greater than they were 20-30 years ago. India is a land for aspirational Indians, and we want to be the go-to financial services organisation for aspirational Indians, fuelling their aspirations, partnering them with their aspirations, giving them the courage to go ahead with their aspirations. **BT**

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